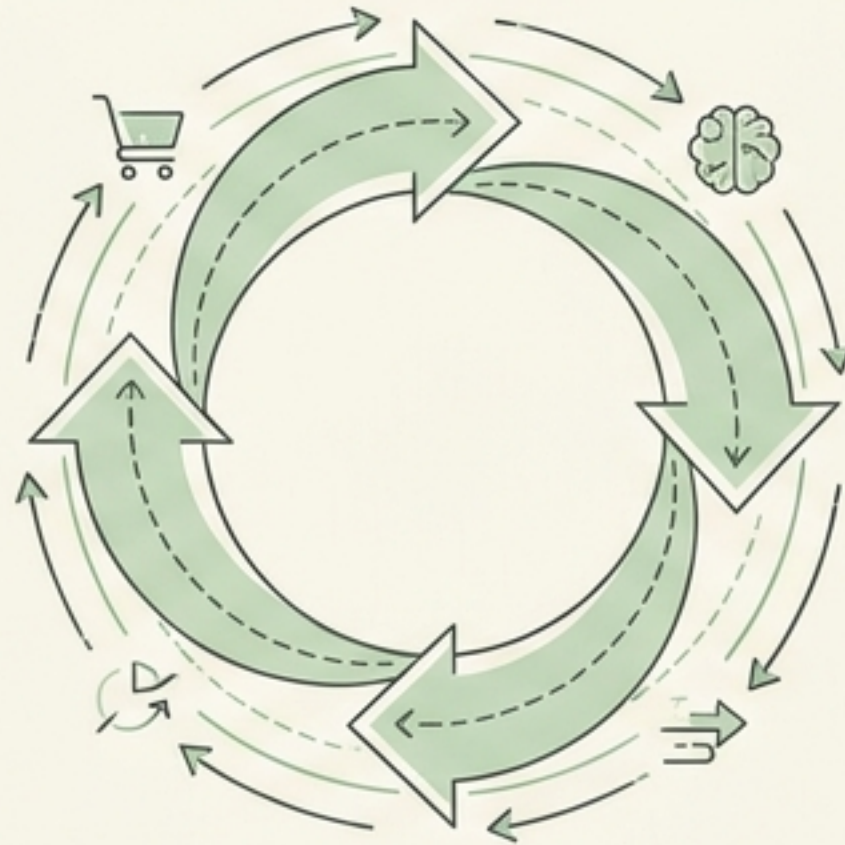


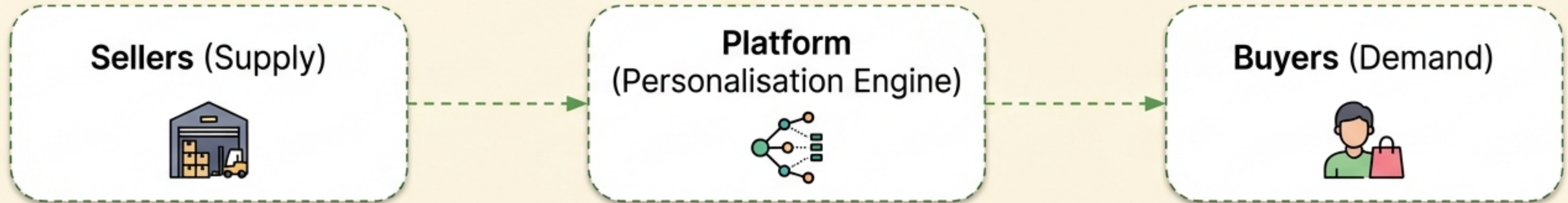
Meesho Product Analytics Case Study

Driving Profitability: From First Purchase to Repeat Habit

By A.S. Abhash, IIT Bhubaneswar



The Meesho Marketplace Engine



5 Critical Product Questions for Growth:

1. How do we reduce friction between a user's first and second purchase?
2. Which behavioural triggers most effectively predict repeat intent?
3. How can we increase cross-category discovery without overwhelming the UI?
4. What is the minimum effective incentive to drive a purchase while preserving margins?
5. How do we structurally elevate trust in seller reliability to improve conversion?

The Strategic Pivot: Rather than viewing retention as a proven weakness, we must treat it as an **untapped product opportunity**. Meesho already possesses strong marketplace liquidity and personalisation capabilities. The challenge is leveraging existing customer behaviour to systematically reduce friction and build habitual purchasing loops.

Framing the Retention Hypothesis

The North Star Metric

Repeat Purchase Rate (2+ Orders)

Objective: Maximise Customer Lifetime Value (CLV)



Market Sizing & Competitive Diagnostic

Behaviour-Driven Segments



Competitive Matrix

Platform	Target AOV	Purchase Frequency	Tier 2/3 Penetration	Core Differentiator
Meesho	Low (₹300-500)	Medium	High (Dominant)	Value & Social Discovery
Amazon	High	High	Medium	Speed & Prime Habit
Flipkart	Medium-High	Medium	Medium-High	Electronics & Trust
Myntra	High	Low-Medium	Low	Premium Fashion

Strategic Assumptions

- 1. Tier 2/3 users are highly price-sensitive but respond to gamified discovery.
- 2. AOV expansion is capped; profitability must come from purchase frequency (CLV).
- 3. Trust is the primary barrier to the critical second purchase.

Hypothesis-Based Shopper Personas

Priya, 26 (The Value Seeker)

Location: Lucknow.

Behaviour: Spends 40 mins browsing daily, adds to cart but waits for price drops. Driven by deep discounts.

Friction to Habit: High abandonment due to perceived delivery costs or lack of bundled value. Overwhelmed by disorganised catalogues.

Rahul, 34 (The Occasional Buyer)

Location: Surat.

Behaviour: Buys specific seasonal items (e.g., festival clothing). Good first experience but forgets to return to the app.

Friction to Habit: Lacks a trigger to return. Post-purchase journey is silent. Needs a reason to make that critical second purchase.

Anita, 42 (The Cautious Shopper)

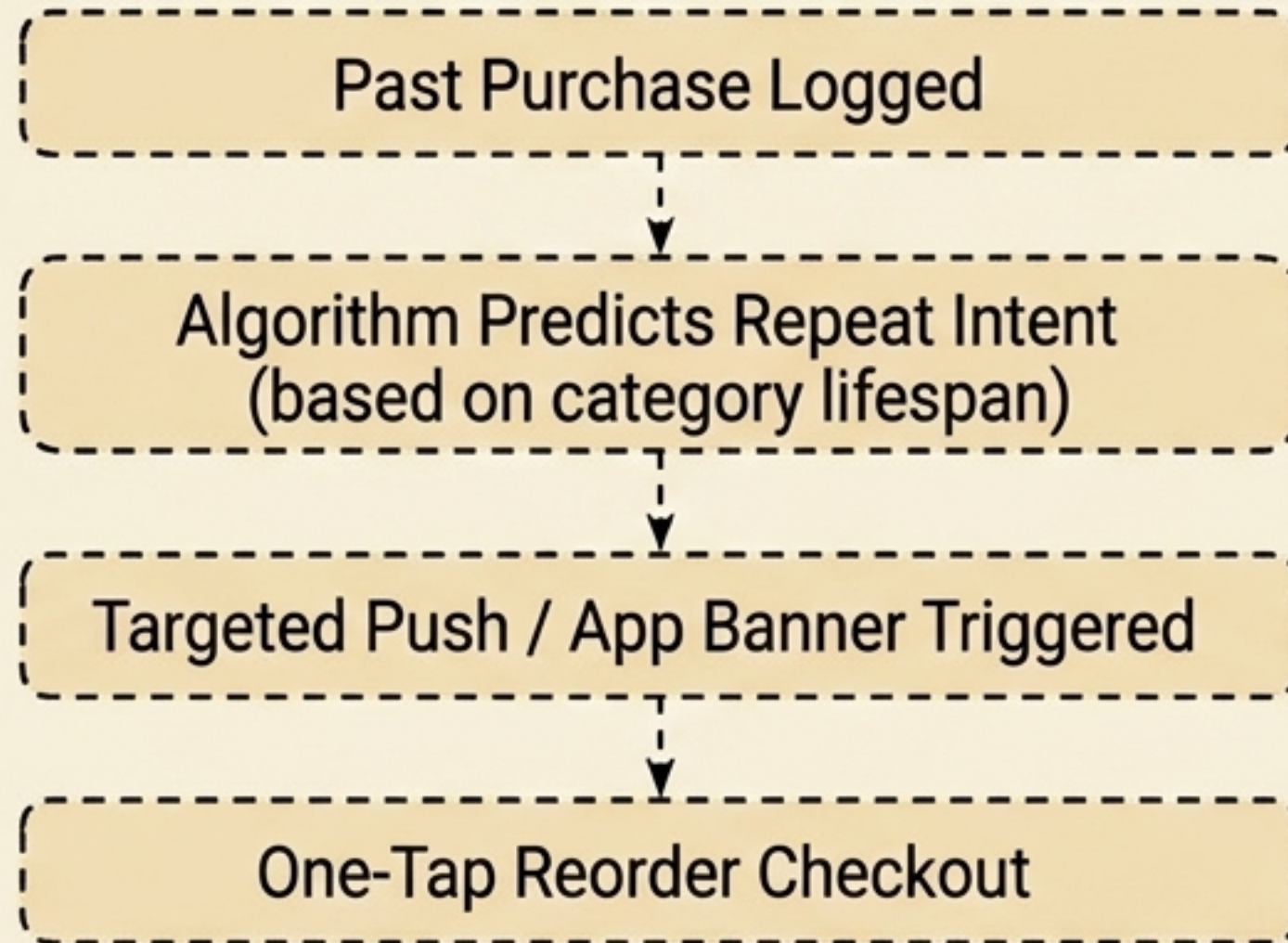
Location: Jaipur.

Behaviour: Relies heavily on reviews and real photos. Highly sceptical of product quality from unknown sellers.

Friction to Habit: Trust deficit. Will not buy a second time if the first item varied even slightly from the description. Needs verified seller reliability.

Rec 1: Personalised Reorder Journey

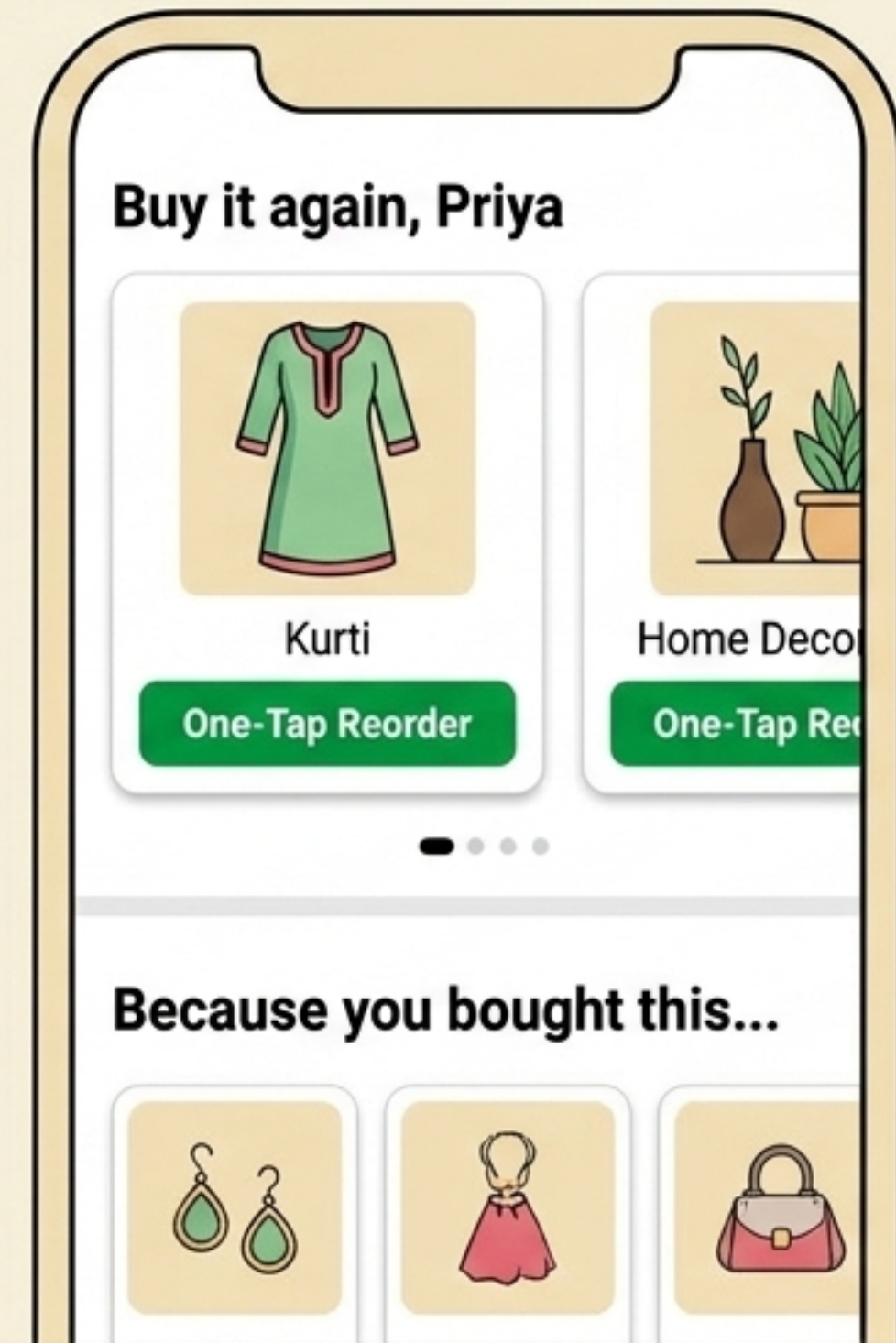
The Mechanism



Target KPI

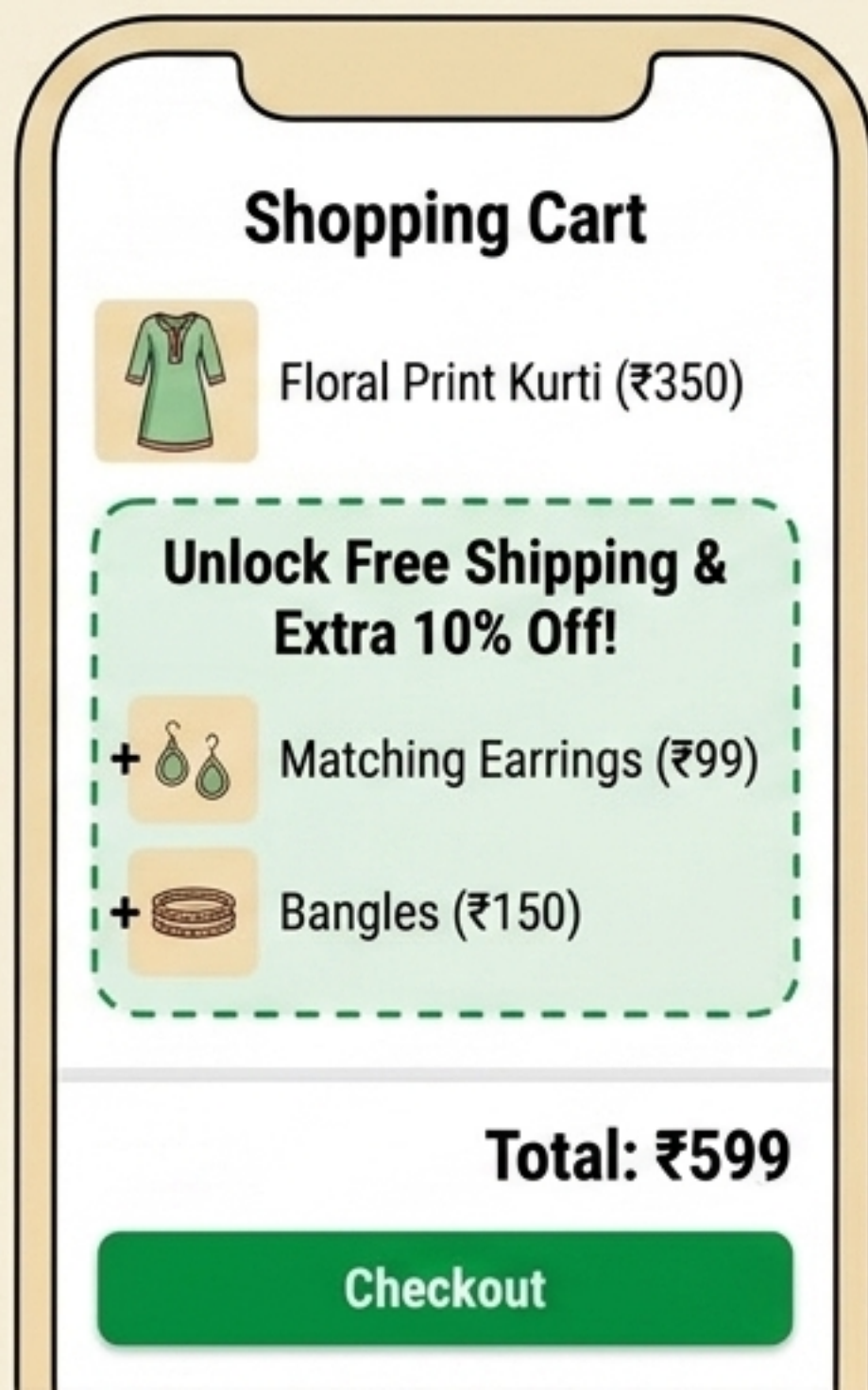
+15% in 30-Day Repeat Purchase Rate

UI Implementation



Rec 2: Personalised Value Bundles

Checkout UI Integration



Strategic Impact

The Hypothesis: Users in Tier 2/3 markets are highly responsive to 'unlocking' value. By dynamically bundling complementary cross-category items at the point of checkout, we can bypass decision fatigue and increase basket size.

Key Targets:

1. Significant AOV Uplift without flat discounts.
2. Increased Cross-Category Purchase Rate (e.g., Fashion to Accessories).
3. Reduced logistics cost as a percentage of overall order value due to grouped shipping.

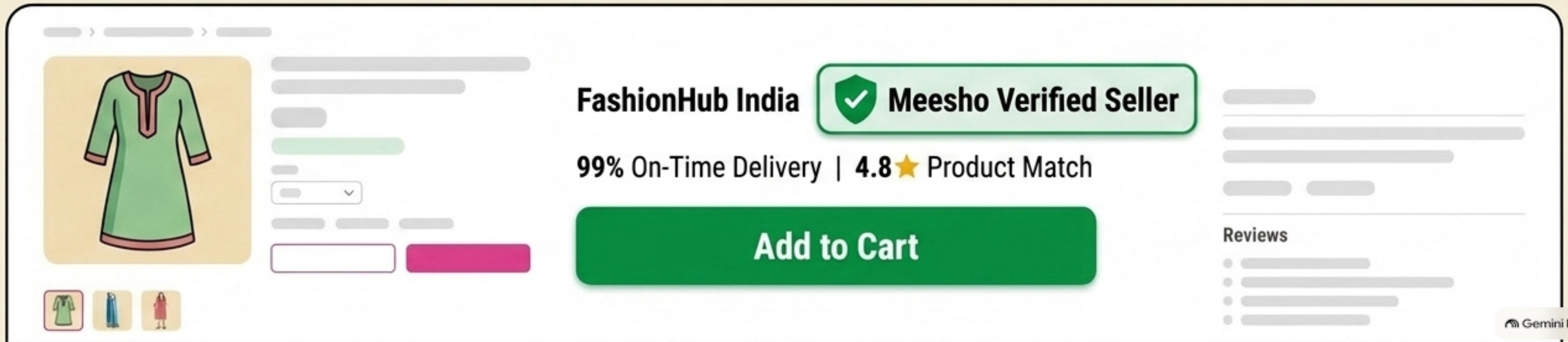
Rec 3: Delivery Trust Score

Seller Reliability Tiers



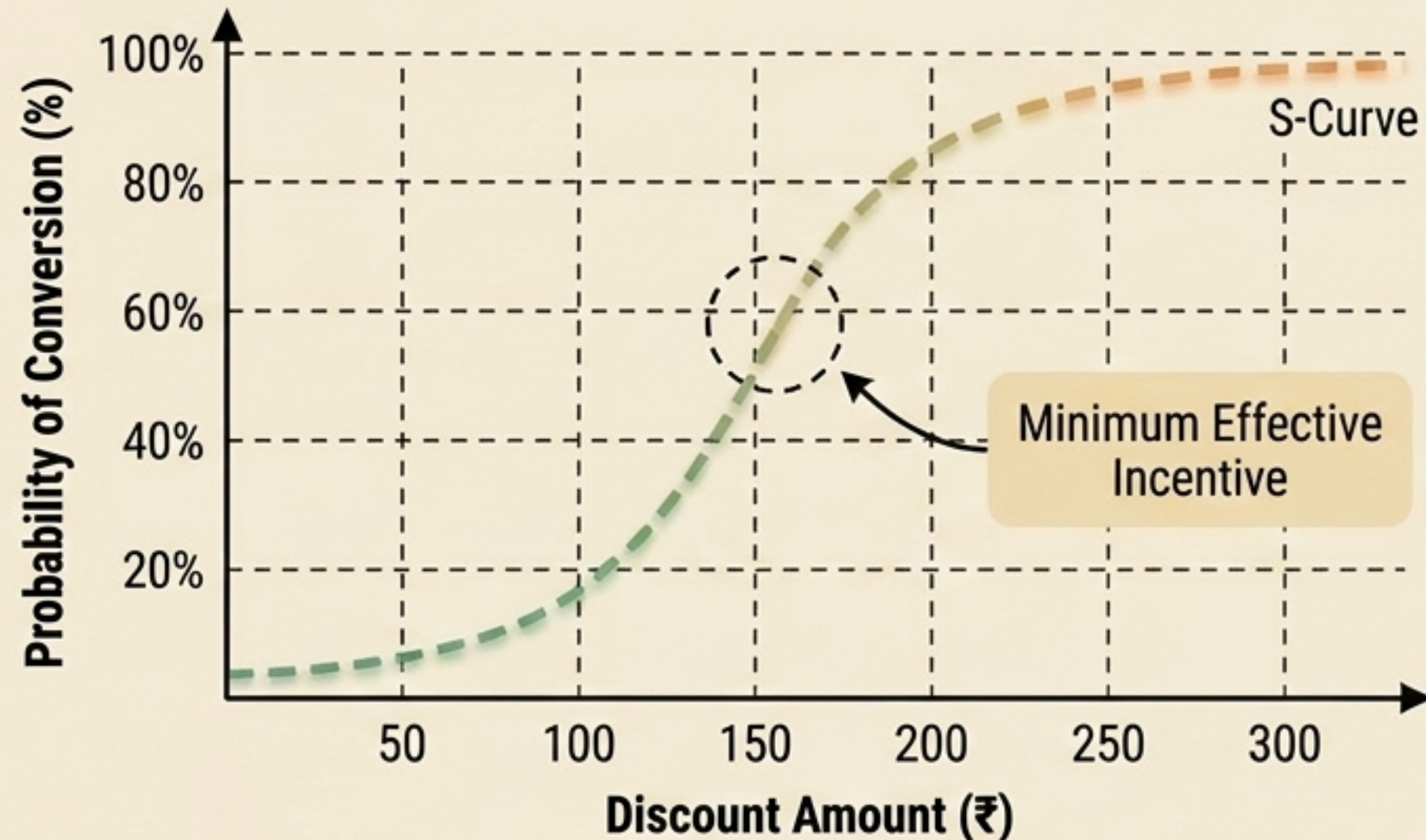
Targeting: Conversion Rate, Delivery Success Rate, and Post-Purchase Reviews.

Product Page Implementation



Rec 4: Next-Best-Order Incentives

The Incentive Curve



Optimising margin by dynamically predicting the exact discount needed to trigger the 'Next-Best-Order' for a specific user, rather than relying on flat platform-wide sales.

Account UI Detail

Your Personal Unlock:
Get ₹50 off your first
Home Decor purchase!

 Expires in
24 hours

Recommended for you: Home Decor



Ceramic Vase
(₹399)

Add to Cart



Geometric Cushion
(₹250)

Add to Cart

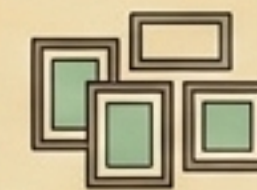


Photo Frames
(₹199)

Add to Cart



Wooden Candle
Holder (₹150)

Add to Cart

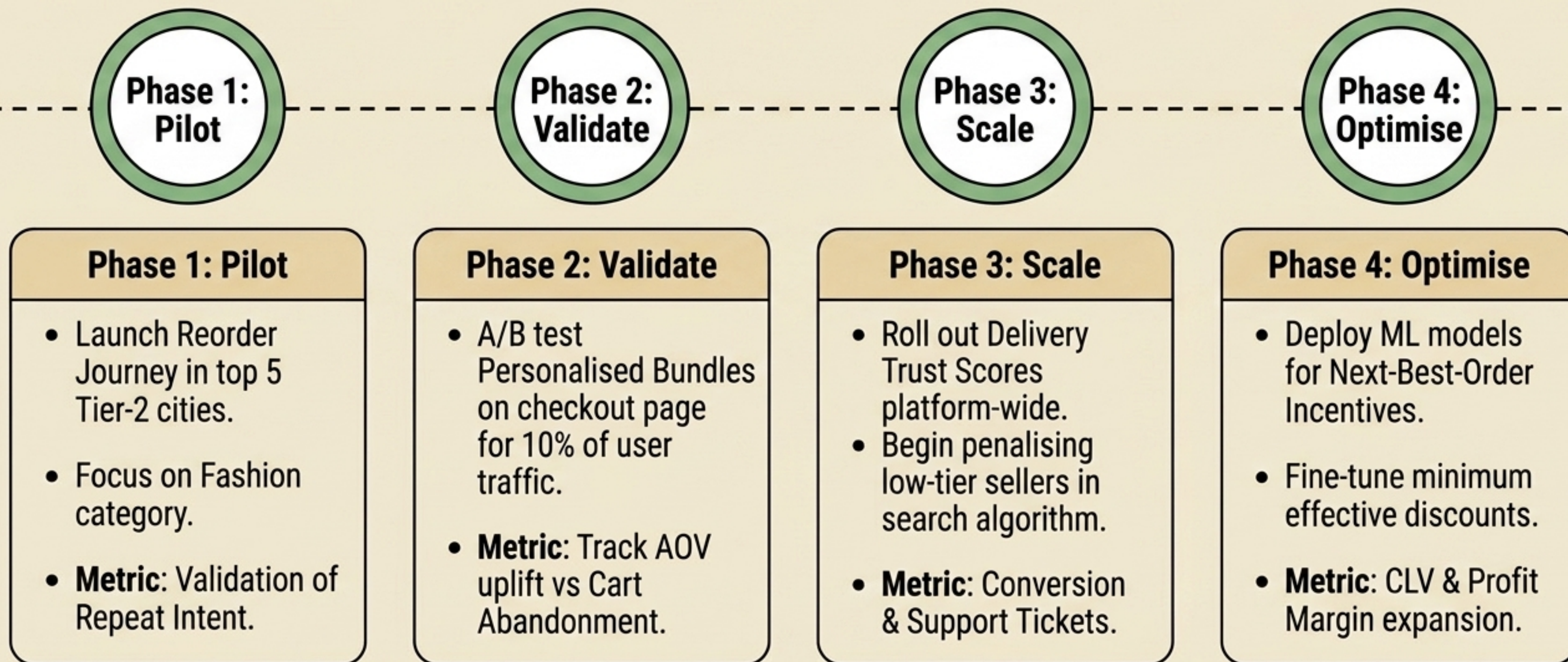
Strategic Prioritisation Matrix (RICE)

*Note: Scores represent strategic assumptions based on current marketplace dynamics and technical feasibility.

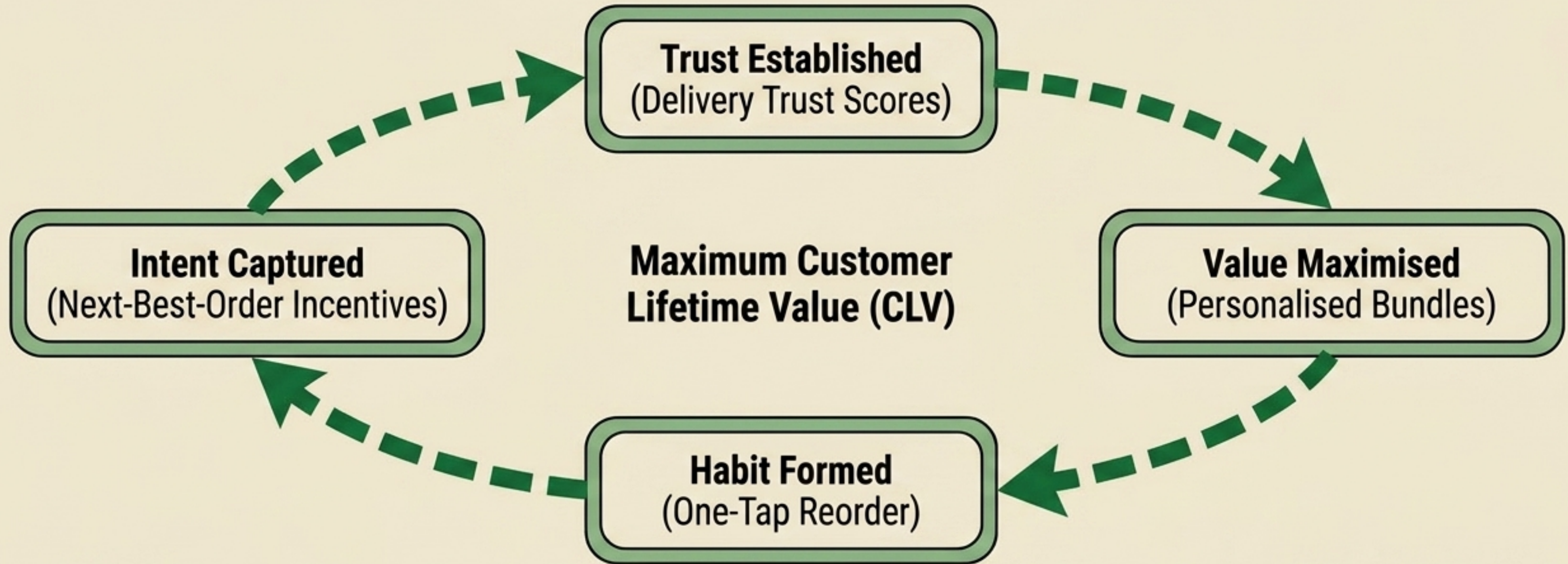
Initiative	Reach	Impact	Confidence	Effort	RICE Score
Personalised Reorder Journey	High (4)	High (4)	High (4)	Low (2)	32.0 (Priority 1)
Value Bundles	Medium (3)	High (4)	Medium (3)	Medium (3)	12.0 (Priority 2)
Delivery Trust Score	High (4)	Medium (3)	High (4)	High (4)	12.0 (Priority 3)
Next-Best-Order Incentives	Low (2)	High (4)	Low (2)	High (5)	3.2 (Priority 4)

Conclusion: Immediate engineering focus on reducing friction for known purchases (Reorder) and increasing immediate cart value (Bundles).

4-Phase Go-To-Market Rollout



Conclusion: From First Purchase to Repeat Habit



Strategic Takeaway: By systematically engineering the space between the first and second purchase, Meesho transitions from a transactional marketplace into an embedded, frictionless habit for the next billion users.